

THE BOARD OF DIRECTORS OF THE NAIROBI SECURITIES EXCHANGE PLC (NSE) IS PLEASED TO ANNOUNCE THE UNAUDITED RESULTS OF THE GROUP FOR THE SIX MONTHS ENDED 30 JUNE 2017

CONDENSED GROUP STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE	6 Months Ended 30.06.2017 Unaudited	6 Months Ended 30.06.2016 Unaudited	12 Months Ended 31.12.2016 Audited
	Kshs '000	Kshs '000	Kshs '000
Operating income	282,603	266,796	527,164
Interest income	47,125	51,766	94,766
Other income	17,077	15,734	95,255
Total income	346,805	334,296	717,185
Administrative expenses	(254,664)	(235,782)	(487,291)
Share of profit of associate	7,518	8,138	3,221
Profit before taxation	99,659	106,652	233,115
Taxation charge	(21,889)	(24,690)	(49,159)
Profit for the year	77,770	81,962	183,956
Other comprehensive income	-	-	(202)
Total comprehensive income for the year	77,770	81,962	183,754
Earnings Per Share*- Basic and diluted (Kshs)	0.30	0.32	0.71
* EPS based on no. of shares	259,500,791	259,500,791	259,500,791

OPERATING ENVIRONMENT - H1 2017

The first half of the year was marked by significant inflationary pressures creeping into the economy. These were triggered by poor weather conditions prevailing in the country. Overall inflation increased to 11.7% in May 2017, though it later abated to 9.2% in June 2017.

Challenges extended to the private sector where credit growth slumped to 4.3% in March 2017, the lowest growth rate since January 2005. Central Bank of Kenya data indicates that the slowdown in credit expansion pre-dated the interest rate cap law which came into force in September 2016.

In its maiden 2017 Quarterly Gross Domestic Product Report, the Kenya National Bureau of Statistics (KNBS) states that Kenya's economy recorded its slowest first quarter growth in 5 years.

The first half of the year saw the return of positive investor sentiment to the bourse with an increase in equity turnover against the same period in 2016. Similarly, the NASI rose by 9% while the NSE 20 decreased by 1%. During the period the NSE launched two products namely the M-Akiba Retail Bond in liaison with the Government and other stakeholders and the Exchange Traded Funds (ETFs) Segment in line with the company's product innovation objectives. The products aim to diversify the current product offering thus providing investors an opportunity to broaden their investment portfolio as well as enhancing financial inclusion for the retail market through mobile bond trading.

FINANCIAL HIGHLIGHTS

- Total income increased by 4% or Kshs. 12.5 Million from Kshs. 334.3 Million in the six months ended 30 June 2016 to Kshs. 346.8 Million for the six months to June 2017. This was driven mainly by an 11% increase in equity turnover from Kshs. 73.6 Billion for the six months ended 30 June 2016 to Kshs. 82 Billion for the six months ended 30 June 2017. The increased turnover led to an increase in equity levies of Kshs. 20 Million which was impacted by a decline in initial listing fees, training fees and interest income of Kshs. 9 Million over the same period.
- Income from equity transactions levy increased by 11% from Kshs. 176.7 Million for the first six months in 2016 to Kshs. 196.8 Million recorded in a similar period in 2017 owing to increase in share prices despite the number of trades being 15% lower than in 2016. Income from the bond transactions levy declined by 9% from Kshs. 18.4 Million for the six months to June 2016 to Kshs. 16.7 Million for the period to June 2017.
- Interest income declined by 9% from Kshs. 51.8 Million for the six months ended 30 June 2016 to Kshs. 47.1 Million for the six months ended 30 June 2017 due to lower interest rates in 2017 due to the interest rate capping regulations that came into effect in the second half of 2016.
- Administrative expenses increased by 8% from Kshs. 235.8 Million for the six months ended 30 June 2016 to Kshs. 254.7 Million for the six months ended 30 June 2017 due to new product development costs mainly relating to the derivatives market, M-Akiba bond and Exchange Traded Funds.
- Profit before tax decreased by 6% from Kshs. 106.6 Million for the six months ended 30 June 2016 to Kshs. 99.7 Million for a similar period in 2017.
- Profit after tax reduced by 5% from Kshs. 81.96 Million for the six months ended 30 June 2016 to Kshs. 77.77 Million for a similar period in 2017.
- Total assets increased marginally from Kshs. 2.01 Billion as at 31 December 2016 to Kshs. 2.02 Billion as at 30 June 2017.
- The net cash used in investing activities of Kshs. 298 Million includes cash outflows on investment in fixed deposits with maturities over 3 months of Kshs. 339 Million, capital expenditure of Kshs. 22 Million against interest income received of Kshs. 40 Million and net treasury bill receipts of Kshs. 23 Million.
- Cash and cash equivalents decreased by Kshs. 349 Million as at 30 June 2017 due in part to the maturity of bank deposits under three months maturity and reinvestment in deposits with maturities over three months of Kshs. 339 Million to gain from higher interest rates offered. Cash and cash equivalents as per the accounting policy relates to cash and convertible investments of less than three months maturity. Total cash and cash equivalents and all bank deposits as at 30 June 2017 decreased marginally by Kshs. 14 Million as compared to 31 December 2016.

CONDENSED GROUP STATEMENT OF FINANCIAL POSITION AS AT	6 Months Ended 30.06.2017 Unaudited	6 Months Ended 30.06.2016 Unaudited	12 Months Ended 31.12.2016 Audited
	Kshs '000	Kshs '000	Kshs '000
Assets			
Non current assets	1,017,913	1,023,376	1,004,550
Current assets	1,003,423	913,383	1,009,195
Total assets	2,021,336	1,936,759	2,013,745
Equity and liabilities			
Share capital	1,038,003	778,500	1,038,003
Share premium	277,185	277,185	277,185
Revenue reserves	555,569	705,355	547,852
Other reserves	(475)	(185)	(475)
Revaluation reserves	568	498	580
Non current liabilities	11,763	11,145	12,904
Current liabilities	138,723	164,261	137,696
Total shareholders' funds and liabilities	2,021,336	1,936,759	2,013,745

CONDENSED GROUP STATEMENT OF CASH FLOWS FOR THE	6 Months Ended 30.06.2017 Unaudited	6 Months Ended 30.06.2016 Unaudited	12 Months Ended 31.12.2016 Audited
	Kshs '000	Kshs '000	Kshs '000
Cash flows from operating activities			
Cash generated from/(used in) operations	35,571	(27,557)	220,572
Tax paid	(19,393)	(6,738)	(24,641)
Net cash generated from/(used in) operating activities	16,178	(34,295)	195,931
Net cash (used in)/generated from investing activities	(298,259)	6,336	347,091
Net cash used in financing activities	(66,474)	(88,036)	(92,375)
(Decrease)/increase in cash and cash equivalents	(348,555)	(115,995)	450,647
Cash and cash equivalents at the beginning of the period	479,359	444,035	28,712
Cash and cash equivalents at the end of the period	130,804	328,040	479,359

CONDENSED STATEMENT OF CHANGES IN EQUITY FOR THE SIX MONTHS ENDED	Share capital	Share premium	Other reserves	Retained earnings	Revaluation reserves
	Kshs '000	Kshs '000	Kshs '000	Kshs '000	Kshs '000
At 1 January 2016	778,500	277,185	(185)	718,753	504
Profit for the period	-	-	-	81,962	-
Transfer of excess depreciation	-	-	-	8	(8)
Deferred tax on transfer of excess depreciation	-	-	-	(2)	2
2015 dividend declared in the year	-	-	-	(95,366)	-
At 30 June 2016	778,500	277,185	(185)	705,355	498
Profit for the period	-	-	-	101,994	-
Transfer of excess depreciation	-	-	-	9	(9)
Deferred tax on transfer of excess depreciation	-	-	-	(3)	3
Other comprehensive income, net of tax	-	-	(290)	-	88
Bonus issue	259,503	-	-	(259,503)	-
At 31 December 2016	1,038,003	277,185	(475)	547,852	580
Profit for the period	-	-	-	77,770	-
Transfer of excess depreciation	-	-	-	17	(17)
Deferred tax on transfer of excess depreciation	-	-	-	(5)	5
2016 dividend declared in the year	-	-	-	(70,065)	-
At 30 June 2017	1,038,003	277,185	(475)	555,569	568

Explanatory Notes

The accounting policies used in preparing these financial statements are consistent with those used for the group's 2016 annual financial statements. These unaudited financial statements are extracts from the books of accounts of the group and were approved by the Board of Directors on 22 August 2017.

By Order of the Board



Mr. Geoffrey O. Odundo
Chief Executive

Nairobi,
22 August 2017